Digital Realty Trust

Strong Bookings, Backlog, and Commencements, with Rapidly Improving Pricing Outlook; Multi-Year Double Digit Core FFOPS Growth Guidance Shows High Confidence

Overweight

ANALYST FOCUS LIST

DLR, DLR US
Price (23 Jul 26):$179.34

▲**Price Target (Dec-27):$235.00**
Prior (Dec-26):$230.00

Communications Infrastructure

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Key Changes (FYE Dec)

	Prev	Cur	Δ
FFO Per Share - 27E ($)	8.70	9.12	4.8%
Revenue - 26E ($ mn)	6,704	7,142	6.5%
Adj. EPS - 26E ($)	1.90	2.76	44.9%
Adj. EPS - 27E ($)	2.49	3.28	31.9%
Adj. EBITDA - 26E ($ mn)	3,685	3,891	5.6%

Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	0.28	0.47A	0.77
Q2	2.91	1.21A	0.78
Q3	0.16	0.52	0.85
Q4	0.25	0.57	0.89
FY	3.58	2.76	3.28

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	32	35	52	10	7
Growth	75	25	7	30	70
Momentum	32	44	77	73	32
Quality	87	79	51	65	17
Low Vol	82	98	13	25	19
ESGQ	33	39	6	21	77

Digital Realty Trust reported strong 2Q26 results and raised 2026 guidance for total revenue, adj. EBITDA and core FFOPS. The company reported $209m in new signings ($307m at 100% share) with a backlog of $1.4b ($1.9b at 100% share). Subsequent to quarter end, DLR signed two leases with hyperscale tenants for $205m of annualized GAAP rent ($410m at 100% share), which was excluded from the reported 2Q26 backlog. Notably, the signings take pre-leasing from 56% at Digital Dulles to the low-60s. The 0-1 MW + Interconnection business notched another record coming in at $108m for the quarter while the >1 MW business reported $100m in bookings. The guidance raise was driven primarily by a robust pricing environment, which has improved each quarter from the original guidance in February of 6.0-8.0% to 9.0-11.0% as of yesterday, up 250 bps from April's guidance. In the quarter, DLR signed $261m of renewals, representing a 25.4% blended mark-to-market. While the 0-1 MW business performed well with a 5.2% cash uplift, the standout was the >1 MW business which posted a 66.7% cash releasing rate, driven by renewals in Singapore and Northern Virginia. The increase is somewhat of a one-off as a customer opted to renegotiate its lease to secure a longer term, which allowed DLR to bring the rate up to market levels. Despite this, the overall pricing environment continues to trend in a positive direction as supply and demand remain imbalanced and NIMBYism concerns further constrain new capacity. Importantly, the backlog and timing of commencements now gives DLR "a high degree of confidence" in the growth outlook as the company is now anticipating double digit core FFOPS growth from 2026-2028. We now estimate core FFOPS of $8.20 in 2026 (excluding promote income; $8.72 if included) growing by 11.0% y/y excluding promote income and18.0% if included. We look for core FFOPS of $9.07 in 2027, up 10.6% y/y (excluding promote income in 2026), and $10.05 in 2028, up 11.1%. We maintain our Overweight rating and establish a December 2027 price target of $235 (vs. Dec-26 PT of $230 prior).

- **Guidance raised on strong releasing performance; promote income benefits the quarter but is excluded from guide.** DLR increased full year 2026 guidance across total revenue (excluding promote income), adj. EBITDA, and core FFOPS as releasing rates remain strong as demand continues to outstrip available supply, further exacerbated by mounting NIMBYism concerns. Results for the quarter benefited from ~$200m of promote income tied to DLR's buy out of Blackstone's ~64% interest in 3 fully leased Northern Virginia data centers and $113m of proceeds from an insurance claim settlement. The insurance claim settlement was contemplated in DLR's guidance but the promote income was not, therefore updated guidance was issued excluding the benefit. The total revenue guide increased by $200m at the midpoint to $6.9b. We model 2026 rental revenues of $4.640b, up 13.6% y/y and total revenues of $7.142b, up 16.8% y/y, above the midpoint of guidance, but aligned with the top end of guidance when adjusted for promote income of ~$200m. Adj. EBITDA was increased by $100m at the

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 11 for analyst certification and important disclosures.

Price Performance

	YTD	1m	3m	12m
Abs	15.9%	-8.0%	-10.3%	0.1%
Rel	7.7%	-8.6%	-14.5%	-16.4%

Company Data

Shares O/S (mn)	389
52-week range ($)	208.14-146.23
Market cap ($ mn)	69,839.06
Exchange rate	1.00
Free float (%)	100.0%
3M ADV (mn)	2.80
3M ADV ($ mn)	521.7
Volatility (90 Day)	26
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	27|9|0

Key Metrics (FYE Dec)

$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
NOI	4,812	5,767	6,280	6,857
Adj. EBITDA	3,339	3,891	4,423	4,870
FFO per share	7.39	8.72	9.07	10.05
BBG FFOPS	7.34	7.99	8.79	9.82
AFFO per share	6.56	7.70	8.08	9.01
DPS	4.88	4.88	4.98	5.08
Margins and Growth				
NOI margin	78.7%	80.7%	81.4%	82.1%
NOI growth	10.1%	19.8%	8.9%	9.2%
EBITDA margin	54.6%	54.5%	57.3%	58.3%
EBITDA Growth Y/Y (%)	13.3%	16.5%	13.7%	10.1%
Ratios				
Adj. tax rate	2.4%	7.1%	7.0%	7.0%
FFO payout	0.7	0.6	0.5	0.5
AFFO payout	0.7	0.6	0.6	0.6
Net debt/EBITDA	4.5	4.8	5.0	5.0
ROA	2.7%	1.9%	2.2%	2.5%
ROE	5.7%	4.1%	4.5%	5.2%
Valuation				
Net debt/EV	0.2	0.2	0.2	0.3
Dividend yield	2.7%	2.7%	2.8%	2.8%
EV/EBITDA	26.0	23.2	21.1	19.7
EV/Revenue	14.2	12.6	12.1	11.5
Adj. P/E	50.0	65.0	54.6	44.6
P/FFO	24.3	20.6	19.8	17.8
P/AFFO	27.3	23.3	22.2	19.9
P/ BV	2.7	2.3	2.3	2.2

Summary Investment Thesis and Valuation

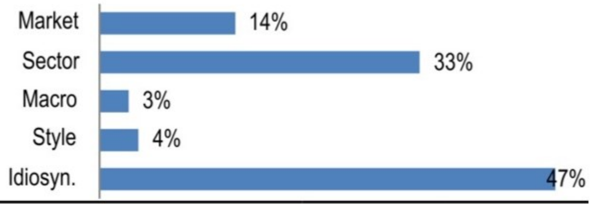
Investment Thesis

We see the company as a substantial beneficiary of cloud and AI demand for data center capacity. Digital Realty Trust has substantial capacity in Northern Virginia and major markets around the world. The company continues to see strong bookings, renewal volume and pricing, especially in the over 1 MW category. Our outlook on the data center industry supports the view that data center demand is robust and the positive pricing environment could last for some period of time. Digital Realty Trust is well positioned with its global portfolio of high-density, cloud-focused data center portfolio and new development builds.

Valuation

We establish a December 2027 price target of $235 based upon our discounted cash flow analysis. Our DCF analysis assumes a 6.75% WACC and a 4.5% perpetual growth rate, and we incorporate a public market discount of 10%. We use a perpetual growth rate estimate of 4.5% due to a strong long-term demand outlook and higher pricing environment.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.39	0.37
Sect: Real Estate	0.68	0.62
Macro:		
US 10yr yield	-0.30	-0.14
Economic Surprise	-0.12	-0.13
Non-Energy Commodity	-0.10	0.11
Quant Styles:		
Quality	-0.02	-0.09
Size	-0.02	-0.06
Growth	-0.11	-0.06

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

midpoint to $3.8b, and we currently model $3.891b, up 16.5% y/y with a 54.5% margin, above the midpoint of guidance which excluded promote income. DLR raised core FFOPS (excluding net promote) guidance by $0.15 at the low end and $0.10 at the high end to $8.175 at the midpoint, implying 11% y/y growth vs. the previous 9%. We model core FFOPS (excluding net promote) of $8.20, up 11.0% y/y and at the high end of guidance. Constant currency core FFOPS (excluding promote income) guidance was also raised by $0.125 at the midpoint to $8.125. The guide for cash renewal rates was raised by 250 bps to a new range of 9.0-11.0%. Discretionary capex was raised by $750m at the midpoint to $4.5b. This will be partially funded by $500m of additional dispositions/JV capital (now expecting $1.25b at the midpoint).

- **Cash releasing spread outperformance of 66.7% driven by Singapore and NVA for greater than 1 MW business.** Total new leasing came in at $307m at 100% share and $209m at DLR share. The 0-1 MW segment reported $88m in bookings and interconnection was $21m. The >1 MW business reported $100m in new signings. Total backlog increased to $1.9b, while DLR's share of the backlog was $1.4b at the end of the quarter, after adding $208m of new leasing and commencing $208m. DLR expects $635m of commencements for the remainder of 2026, with $480m in 2027, and $312m in 2028+. Renewals came in at $261m representing a total cash releasing spread of 25.4%. The 0-1 MW business accounted for 55%/$144m of total renewals, and released 5.2% higher on a cash basis. The >1 MW business was 44%/$115m of the total and signed at a 66.7% uplift on a cash basis.
- **Projects under construction total 1.4 GW globally, with 1.1 GW in North America, of which 62% is pre-leased with an expected 11.8% yield.** Digital Realty has ~3 GW of operational IT capacity across its global portfolio with 1,405 MW under construction (u/c) after delivering 76 MW during the quarter and starting work on 312 MW. North America has 1,140 MW currently u/c and is 62% pre-leased vs. 922 MW with 69% pre-leased in 1Q26. The full build out is projected to cost $16.1b, implying a build cost of ~$14m/MW (unchanged from last quarter), and the expected development yield is 11.8% vs. 11.5% in the prior quarter. EMEA currently has 183 MW u/c with 12% pre-leased vs. 20% in the prior quarter. The total projected cost to build is $3.2b (~$18m/MW vs. ~ $16m/MW last quarter) with an estimated a stabilized yield of 10.4% vs. 11.0% last quarter. APAC has 80 MW u/c with 47% pre-leased which will cost an estimated $890m(~ $11m/MW vs. ~$11m/MW last quarter) total to complete. APAC projects have an estimated stabilized yield of 11.2% vs. 11.1% in the prior quarter.
- **Executing on all 3 strategic growth pillars: colocation/connectivity, hyperscale, and strategic private capital.** Enterprise demand for colocation and connectivity continues to drive the business in the near-term as AI adoption spreads and digital transformation/ cloud remains a robust secular tailwind. Enterprise customers across multiple verticals are deploying AI solutions on PlatformDIGITAL as use cases expand, and DLR noted a neocloud deploying in Barcelona to increase networking capacity and reduce costs while serving distributed inferencing. On the hyperscale side, subsequent to quarter end, DLR signed two hyperscale leases in the U.S. representing $205m of annualized GAAP rent ($410m at 100% share). During the quarter, and as previously announced, DLR acquired the remaining stakes of three Northern Virginia hyperscale data centers from Blackstone for $3.5b ($1.2b in cash and $2.3b in stock). The data centers total 288 MW of capacity and while they are fully leased, the facilities are not fully built. Two of the facilities are expected to be fully stabilized by 1H27 while the other will reach stabilization in 1H28. DLR has also secured an initial 600 MW of utility power for a site in Kansas City, which will begin to ramp in 2028 and has the potential for up to 2 GW of gross capacity. Lastly, to address the unprecedented scale of demand, DLR continues to develop its strategic private capital initiatives to help fund developments. In June, DLR entered into an agreement to acquire 100% of Columbia Capital, an asset management platform in the digital infrastructure space. The deal is expected to close in 3Q26 and will add more than

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$9b of fund commitments which will drive upside on the fee income line. While DLR is not interested in pursuing an investment manager business model, the acquisition will bring hundreds of relationships with investors across SWFs, pensions, insurance companies, endowments, and other institutional investors which DLR can tap for its evolving fundraising initiatives.

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Figure 1: 3Q26 and 2026 Estimate Changes

	3Q26E	3Q26E Prev	% Variance
Rental	**1,176.1**	**1,138.2**	**3.3%**
y/y % change	12.5%	8.8%	363bps
Interconnection	132.9	130.0	2.2%
y/y % change	10.4%	8.0%	242bps
Tenant reimbursements - Utilities	360.0	345.0	4.3%
y/y % change	8.2%	3.7%	451bps
Tenant reimbursements - Other	38.0	38.0	0.0%
y/y % change	1.9%	1.9%	0bps
Fee incoome	55.0	34.9	57.6%
y/y % change	NM	NM	NM
Other	0.5	0.0	921.3%
y/y % change	NM	NM	NM
Total revenues	**1,762.5**	**1,686.1**	**4.5%**
y/y % change	11.7%	6.9%	484bps
Revenue ex. reimbursements	1,364	1,303	4.7%
y/y % change	13.0%	7.9%	508bps
Adj. EBITDA margin	71.7%	70.6%	105bps
Rental revenue ex. dispositions/JVs	1,364	1,303	4.7%
y/y % change	13.0%	7.9%	508bps
Utilities	402.5	380.0	5.9%
Rental property operating	285.0	285.0	0.0%
Property taxes	56.4	57.5	-1.8%
Insurance	4.3	4.9	-12.2%
Change in fair value of consideration	0.0	0.0	NM
Deperciation & amortization	509.6	504.5	1.0%
General & administrative	160.0	155.0	3.2%
Severance and other expenses	0.0	0.0	NM
Transactions	38.7	15.7	146.8%
Impairment of investments in real estate	0.0	0.0	NM
Other expenses	0.0	0.0	NM
Total costs and expenses	1,456.6	1,402.6	3.8%
Adj. EBITDA	**977.9**	**920.3**	**6.3%**
y/y % change	12.7%	6.0%	664bps
Margin	55.5%	54.6%	90bps
Net (loss) income attributed to common stc	197.7	171.4	15.3%
EPS - reported, diluted with units	$0.52	$0.48	9.1%
Core FFO - diluted	761.9	720.3	5.8%
y/y % change	16.1%	9.8%	635bps
Core FFO per share - diluted	**$2.00**	**$2.00**	**0.0%**
y/y % change	6.2%	6.1%	4bps
AFFO	636.6	623.0	2.2%
y/y % change	3.9%	1.7%	221bps
AFFO per share - diluted	$1.67	$1.73	-3.4%
y/y % change	-5.0%	-1.7%	-332bps
Development	1,250.0	1,000.0	25.0%
Enhancements and other non-recurring	7.9	9.0	-12.1%
Total non-recurring capex	1,257.9	1,009.0	24.7%
Recurring capex	125.0	125.0	0.0%
Total direct capex	1,382.9	1,134.0	22.0%
Capitalized interest	37.1	35.6	4.1%
Capitalized overhead	45.4	39.0	16.3%
Timing/FX adjustments	0.0	0.0	NM
Total capital expenditures	**1,465.4**	**1,208.7**	**21.2%**

	2026E	2025	% Change	2026E Prev	% Variance
Rental	**4,640.3**	**4,084.5**	**13.6%**	**4,521.1**	**2.6%**
y/y % change	13.6%	9.7%	389bps	10.7%	292bps
Interconnection	523.0	478.7	9.2%	514.8	1.6%
y/y % change	9.2%	8.2%	108bps	7.5%	172bps
Tenant reimbursements - Utilities	1,416.8	1,254.5	12.9%	1,378.9	2.7%
y/y % change	12.9%	8.3%	467bps	9.9%	302bps
Tenant reimbursements - Other	156.5	151.2	3.5%	149.1	5.0%
y/y % change	3.5%	-4.6%	812bps	-1.4%	489bps
Fee incoome	403.8	137.2	194.4%	139.6	189.3%
y/y % change	194.4%	111.4%	8304bps	1.8%	19264bps
Other	1.5	6.6	-77.5%	0.2	691.0%
y/y % change	NM	NM	NM	NM	NM
Total revenues	**7,141.9**	**6,112.7**	**16.8%**	**6,703.7**	**6.5%**
y/y % change	16.8%	10.0%	680bps	9.7%	717bps
Revenue ex. reimbursements	5,569	4,707	18.3%	5,176	7.6%
y/y % change	18.3%	11.1%	723bps	10.0%	835bps
Adj. EBITDA margin	69.9%	70.9%	-107bps	71.2%	-133bps
Rental revenue ex. dispositions/JVs	5,569	4,707	18.3%	5,176	7.6%
y/y % change	18.3%	11.1%	723bps	10.0%	835bps
Utilities	1,583.8	1,426.5	11.0%	1,519.9	4.2%
Rental property operating	1,132.5	1,080.6	4.8%	1,116.1	1.5%
Property taxes	224.2	201.0	11.5%	227.4	-1.4%
Insurance	18.4	18.6	-1.5%	19.7	-6.6%
Change in fair value of consideration	0.0	0.0	NM	0.0	NM
Deperciation & amortization	2,028.3	1,894.6	7.1%	2,013.0	0.8%
General & administrative	630.2	554.1	13.7%	619.9	1.7%
Severance and other expenses	7.2	11.4	-36.8%	2.8	154.6%
Transactions	131.8	185.1	-28.8%	62.7	110.1%
Impairment of investments in real estate	0.0	78.6	-100.0%	0.0	NM
Other expenses	13.5	3.7	265.5%	0.0	58730.4%
Total costs and expenses	5,770.0	5,454.2	5.8%	5,581.6	3.4%
Adj. EBITDA	**3,890.8**	**3,339.1**	**16.5%**	**3,684.9**	**5.6%**
y/y % change	16.5%	13.3%	322bps	10.4%	617bps
Margin	54.5%	54.6%	-15bps	55.0%	-49bps
Net (loss) income attributed to common s	1,032.2	1,267.9	-18.6%	685.2	50.6%
EPS - reported, diluted with units	$2.77	$3.60	-23.1%	$1.90	45.3%
Core FFO - diluted	3,223.7	2,557.8	26.0%	2,878.7	12.0%
y/y % change	26.0%	15.5%	1056bps	12.5%	1349bps
Core FFO per share - diluted	**$8.72**	**$7.39**	**18.0%**	**$8.05**	**8.4%**
y/y % change	18.0%	10.1%	795bps	8.9%	913bps
AFFO	2,837.6	2,268.2	25.1%	2,569.2	10.4%
y/y % change	25.1%	12.5%	1257bps	13.3%	1183bps
AFFO per share - diluted	$7.70	$6.56	17.4%	$7.19	7.1%
y/y % change	17.4%	7.2%	1022bps	9.6%	781bps
Development	4,027.1	2,541.2	58.5%	3,750.0	7.4%
Enhancements and other non-recurring	29.5	28.3	4.2%	32.8	-10.0%
Total non-recurring capex	4,056.6	2,569.5	57.9%	3,782.7	7.2%
Recurring capex	411.3	343.9	19.6%	409.7	0.4%
Total direct capex	4,467.9	2,913.4	53.4%	4,192.4	6.6%
Capitalized interest	146.9	127.2	15.5%	142.5	3.1%
Capitalized overhead	175.2	140.6	24.6%	156.1	12.2%
Timing/FX adjustments	0.0	0.0	NM	0.0	NM
Total capital expenditures	**4,790.0**	**3,181.2**	**50.6%**	**4,491.0**	**6.7%**

Source: J.P. Morgan estimates, Company data.

Figure 2: 2Q26 Comparison Table

	2Q26	1Q26	% Change	2Q26 Prev	% Variance
Rental	**1,145.9**	**1,103.9**	**3.8%**	**1,114.4**	**2.8%**
y/y % change	14.2%	14.9%	-74bps	11.1%	314bps
Interconnection	130.4	124.3	4.9%	128.0	1.9%
y/y % change	6.9%	10.0%	-308bps	5.0%	198bps
Tenant reimbursements - Utilities	352.9	333.9	5.7%	340.0	3.8%
y/y % change	19.8%	23.1%	-330bps	15.4%	438bps
Tenant reimbursements - Other	45.4	38.1	19.2%	38.0	19.5%
y/y % change	21.5%	-9.7%	3120bps	1.7%	1979bps
Fee incoome	248.9	34.9	613.3%	34.9	613.3%
y/y % change	NM	NM	NM	NM	NM
Other	0.5	0.0	921.3%	0.0	NM
y/y % change	NM	NM	NM	NM	NM
Total revenues	**1,924.0**	**1,635.2**	**17.7%**	**1,655.4**	**16.2%**
y/y % change	28.9%	16.2%	1269bps	10.9%	1799bps
Revenue ex. reimbursements	1,526	1,263	20.8%	1,277	19.4%
y/y % change	31.4%	15.4%	1595bps	10.0%	2139bps
Adj. EBITDA margin	64.1%	72.9%	-878bps	70.9%	-685bps
Rental revenue ex. dispositions/JVs	1,526	1,263	20.8%	1,277	19.4%
y/y % change	31.4%	15.4%	1595bps	10.0%	2139bps
Utilities	396.5	372.4	6.5%	375.0	5.7%
Rental property operating	291.4	266.1	9.5%	275.0	6.0%
Property taxes	55.2	55.0	0.4%	56.2	-1.9%
Insurance	4.7	4.8	-1.1%	4.9	-2.4%
Change in fair value of consideration	0.0	0.0	NM	0.0	NM
Deperciation & amortization	507.1	499.5	1.5%	502.0	1.0%
General & administrative	153.3	151.9	0.9%	155.0	-1.1%
Severance and other expenses	4.4	2.8	54.6%	0.0	NM
Transactions	38.7	15.7	146.8%	15.7	146.8%
Impairment of investments in real estate	0.0	0.0	NM	0.0	NM
Other expenses	13.5	0.0	58630.4%	0.0	NM
Total costs and expenses	1,464.8	1,368.2	7.1%	1,383.8	5.9%
Adj. EBITDA	**977.6**	**920.3**	**6.2%**	**905.9**	**7.9%**
y/y % change	18.7%	16.3%	241bps	10.0%	870bps
Margin	50.8%	56.3%	-547bps	54.7%	-392bps
Net (loss) income attributed to common stc	443.1	169.1	162.1%	163.4	171.3%
EPS - reported, diluted with units	$1.21	$0.47	156.1%	$0.45	165.1%
Core FFO - diluted	955.8	716.1	33.5%	708.8	34.9%
y/y % change	48.6%	17.7%	3087bps	10.2%	3840bps
Core FFO per share - diluted	**$2.65**	**$2.04**	**30.0%**	**$1.97**	**34.3%**
y/y % change	41.7%	14.9%	2673bps	5.5%	3622bps
AFFO	889.1	674.3	31.9%	662.0	34.3%
y/y % change	54.3%	10.5%	4380bps	14.9%	3941bps
AFFO per share - diluted	$2.47	$1.92	28.4%	$1.84	33.8%
y/y % change	47.2%	7.9%	3923bps	10.0%	3717bps
Development	747.1	730.0	2.3%	850.0	-12.1%
Enhancements and other non-recurring	7.9	5.8	37.4%	9.0	-12.1%
Total non-recurring capex	755.0	735.7	2.6%	859.0	-12.1%
Recurring capex	76.7	59.7	28.5%	75.0	2.2%
Total direct capex	831.7	795.4	4.6%	934.0	-11.0%
Capitalized interest	37.1	35.6	4.1%	35.6	4.1%
Capitalized overhead	45.4	39.0	16.3%	39.0	16.3%
Timing/FX adjustments	0.0	0.0	NM	0.0	NM
Total capital expenditures	**914.2**	**870.0**	**5.1%**	**1,008.7**	**-9.4%**

Source: J.P. Morgan estimates, Company data.

Figure 3: Valuation Summary

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	CAGR 23E-35E
NRSF	32,407	34,741	36,582	37,982	39,392	40,812	42,242	43,672	45,102	46,532	47,962	49,392	50,822	4%
y/y % change	4.0%	4.1%	4.6%	3.5%	2.5%	2.0%	1.5%	1.1%	1.0%	1.0%	1.0%	1.0%	1.0%	
Annualized rent per NRSF	$108	$110	$114	$124	$133	$139	$147	$153	$159	$165	$171	$177	$182	4%
y/y % change	5.6%	2.2%	3.5%	9.0%	6.6%	5.1%	5.0%	4.5%	4.0%	3.8%	3.5%	3.3%	3.0%	
Rental revenue	**3,513**	**3,723**	**4,084**	**4,640**	**5,132**	**5,594**	**6,085**	**6,581**	**7,076**	**7,581**	**8,095**	**8,615**	**9,139**	**8%**
y/y % change	**11.8%**	**6.0%**	**9.7%**	**13.6%**	**10.6%**	**9.0%**	**8.8%**	**8.1%**	**7.5%**	**7.1%**	**6.8%**	**6.4%**	**6.1%**	
Interconnection revenue	420	443	479	523	570	621	676	736	801	871	947	1,029	1,117	8%
y/y % change	10.6%	5.4%	8.2%	9.2%	9.0%	8.9%	8.9%	8.9%	8.8%	8.7%	8.7%	8.7%	8.6%	
Tenant reimbursements - Utilities	1,300	1,159	1,254	1,417	1,530	1,653	1,785	1,928	2,082	2,248	2,428	2,622	2,832	7%
y/y % change	38.0%	-10.9%	8.3%	12.9%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	
Tenant reimbursements - Other	198	159	151	156	160	160	160	160	160	160	160	160	160	-2%
y/y % change	-1.0%	-19.7%	-4.6%	3.5%	2.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	
Fee incoome	45	65	137	404	320	325	330	335	340	345	350	355	360	19%
y/y % change	83.3%	44.4%	111.4%	194.4%	-20.8%	1.6%	1.5%	1.5%	1.5%	1.5%	1.4%	1.4%	1.4%	
Other revenue	2	8	7	1	2	2	2	2	2	2	2	2	2	0%
y/y % change	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM	
Total revenue	**5,477**	**5,555**	**6,113**	**7,142**	**7,714**	**8,355**	**9,038**	**9,742**	**10,460**	**11,207**	**11,982**	**12,784**	**13,610**	**8%**
y/y % change	**16.7%**	**1.4%**	**10.0%**	**16.8%**	**8.0%**	**8.3%**	**8.2%**	**7.8%**	**7.4%**	**7.1%**	**6.9%**	**6.7%**	**6.5%**	
Adjusted EBITDA	**2,750**	**2,947**	**3,339**	**3,891**	**4,423**	**4,870**	**5,340**	**5,818**	**6,309**	**6,814**	**7,332**	**7,861**	**8,399**	**10%**
y/y % change	**11.2%**	**7.2%**	**13.3%**	**16.5%**	**13.7%**	**10.1%**	**9.7%**	**9.0%**	**8.4%**	**8.0%**	**7.6%**	**7.2%**	**6.8%**	
Adjusted EBITDA margin	50.2%	53.1%	54.6%	54.5%	57.3%	58.3%	59.1%	59.7%	60.3%	60.8%	61.2%	61.5%	61.7%	
Less: Depreciation and Amortization	1,695	1,772	1,895	2,028	2,073	2,113	2,153	2,193	2,233	2,273	2,313	2,353	2,393	
EBIT	1,055	1,175	1,444	1,862	2,349	2,757	3,187	3,625	4,075	4,541	5,019	5,508	6,006	16%
Less: Taxes on EBIT @ 10.0%	(76)	(55)	(32)	(83)	(99)	(121)	(145)	(170)	(197)	(226)	(257)	(289)	(323)	
Unlevered Net Income	979	1,120	1,412	1,780	2,250	2,636	3,042	3,455	3,878	4,314	4,762	5,219	5,683	16%
Add: Depreciation and Amortization	1,695	1,772	1,895	2,028	2,073	2,113	2,153	2,193	2,233	2,273	2,313	2,353	2,393	
Less: Capital Expenditures	**3,526**	**2,832**	**3,181**	**4,790**	**4,854**	**4,749**	**4,644**	**4,539**	**4,434**	**4,329**	**4,224**	**4,119**	**4,014**	**1%**
Capex as % of rental revenue	**89.6%**	**68.0%**	**69.7%**	**92.8%**	**85.1%**	**76.4%**	**68.7%**	**62.0%**	**56.3%**	**51.2%**	**46.7%**	**42.7%**	**39.1%**	
Unlevered Free Cash Flows	(851)	61	126	(982)	(530)	0	552	1,109	1,678	2,259	2,852	3,454	4,063	#NUM!
FFO per share	$6.59	$6.71	$7.39	$8.72	$9.07	$10.05	$11.01	$12.02	$13.08	$14.21	$15.39	$16.64	$17.94	9%
AFFO per share	$5.85	$6.12	$6.56	$7.70	$8.08	$9.01	$10.01	$11.07	$12.20	$13.50	$14.68	$15.92	$17.21	9%
y/y % change	-2.5%	4.6%	7.2%	17.4%	5.0%	11.5%	11.1%	10.6%	10.2%	10.7%	8.7%	8.4%	8.1%	
Reported EPS	$2.93	$1.71	$3.66	$2.81	$3.34	$4.09	$4.92	$5.80	$6.73	$7.73	$8.79	$9.91	$11.09	12%
y/y % change	153.7%	-41.6%	114.4%	-23.2%	18.6%	22.5%	20.3%	17.8%	16.1%	14.9%	13.7%	12.7%	11.8%	

Private Market Valuation Summary	**2027E**
NPV of EBITDA	38,717
NPV of taxes paid	(1,243)
NPV of capex	(26,632)
NPV of free cash flow	10,841
NPV of 2030 terminal value	113,598
PMV of operations	**124,439**
Plus (less): NPV of NOLs	0
Less: net long-term debt and preferred stock, end of period	(22,642)
PMV of equity	**101,796**
Current shares outstanding	389.2
Shares to be issued from warrants/options	0.2
Fully diluted shares outstanding	389.4
DCF Value per Share	$261.40
Private to public discount	10%
Fair value per share	**$235.26**
Upside to Fair Value	31.2%
Upside to Fair Value including estimated dividend	33.9%
Estimated dividend	$4.88
Dividend yield (current)	2.7%

Current Price Multiples @	**$179.34**					
	EV ($b)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Current EV/Adjusted EBITDA	92.5	31.4x	27.7x	23.8x	20.9x	19.0x
Current Price/FFO		26.7x	24.3x	20.6x	19.8x	17.8x
Current Price/AFFO		29.3x	27.3x	23.3x	22.2x	19.9x
Fair Value EV/Adj. EBITDA	114.3	38.8x	34.2x	29.4x	25.8x	23.5x
Fair Value/FFO		35.1x	31.8x	27.0x	25.9x	23.4x
Fair Value/AFFO		38.4x	35.9x	30.6x	29.1x	26.1x

Valuation Grid - DCF Value of Equity
Terminal Growth Rate (across) on 2030E FCF, Discount Rate (down)

	3.5%	**4.0%**	**4.5%**	**5.0%**	**5.5%**
5.8%	252	335	484	831	2571
6.3%	192	243	324	469	807
6.8%	151	185	**$235.26**	314	454
7.8%	98	116	140	173	220
8.8%	65	76	90	107	130

Source: J.P. Morgan estimates, Company data.

Investment Thesis, Valuation and Risks

Digital Realty Trust *(Overweight; Price Target: $235.00)*

Investment Thesis

We see the company as a substantial beneficiary of cloud and AI demand for data center capacity. Digital Realty Trust has substantial capacity in Northern Virginia and major markets around the world. The company continues to see strong bookings, renewal volume and pricing, especially in the over 1 MW category. Our outlook on the data center industry supports the view that data center demand is robust and the positive pricing environment could last for some period of time. Digital Realty Trust is well positioned with its global portfolio of high-density, cloud-focused data center portfolio and new development builds.

Valuation

We establish a December 2027 price target of $235 based upon our discounted cash flow analysis. Our DCF analysis assumes a 6.75% WACC and a 4.5% perpetual growth rate, and we incorporate a public market discount of 10%. We use a perpetual growth rate estimate of 4.5% due to a strong long-term demand outlook and higher pricing environment.

Risks to Rating and Price Target

Downside Risks

FX could be a headwind. Digital Realty has significant exposure to international markets, and FX has been a headwind for the company previously. The company does not hedge FX exposure but does borrow in local currency to offset economic exposure. Digital Realty has substantial debt in pounds sterling and a multi-currency line of credit for international funding needs. International markets, in particular Europe and Asia, contribute ~35% of Digital Realty's revenue.

High customer concentration. Digital Realty has substantial exposure to a few customers. The company's top five customers generate ~30% of annualized rent, and the weighted average remaining lease term is about seven years. While we do not expect any significant customer churn for Digital Realty, the significant concentration among its top five customers is a potential concern. The company's top 20 customers, including Microsoft, Apple, Meta, Google, Oracle, IBM, Equinix, and AT&T, contribute ~50% of its annualized rent.

Secular shift to IT and data center outsourcing could be negatively impacted by a weakening economy, lower IT needs, or technology improvements. We see a long-term secular shift from in-house IT and data center spending being outsourced to third parties. We believe third-party data centers offer a flexible and cost-efficient solution for enterprises to outsource data center space. In addition, data center companies are able to offer various services from wholesale to colocation to cloud/managed services, as well as interconnection. However, there could be a slowdown in data center demand due to a weakening economy, lower IT needs, or technology improvements, which could negatively impact the growth of the data center REITs.

Data center builds could ramp and create oversupply in the market with negative pricing impacts. The data center industry has a history of booms and busts, which could be repeated. Data center builds occur when demand is strong and take months, if not years, to construct, depending on size and structure. Over the past few years, data center utilization has remained high and data center development has been managed well, which has helped keep pricing stable to rising. However, a boom in construction could lead to an oversupply in the market and negatively impact pricing and the health of the industry.

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Digital Realty Trust: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**5,555**	**6,113**	**7,142**	**7,714**	**8,355**
COGS	(1,186)	(1,300)	(1,375)	(1,435)	(1,497)
Net property income	4,369	4,812	5,767	6,280	6,857
Adj. EBITDA	**2,947**	**3,339**	**3,891**	**4,423**	**4,870**
D&A	(1,772)	(1,895)	(2,028)	(2,073)	(2,113)
Adj. EBIT	**472**	**658**	**1,372**	**1,843**	**2,242**
Revaluation gains/(losses)	-	-	-	-	-
Net Interest	(453)	(438)	(470)	(547)	(620)
Adj. PBT	**649**	**1,345**	**1,160**	**1,418**	**1,728**
Tax	(55)	(32)	(83)	(99)	(121)
Minority Interest	14	(5)	0	0	0
Adj. Net Income	**562**	**1,268**	**1,032**	**1,278**	**1,566**
Distributable profit	-	-	-	-	-
Funds from operations (FFO)	2,027	2,399	3,187	3,549	3,932
Adjusted funds from operations (AFFO)	**2,027**	**2,399**	**3,187**	**3,549**	**3,932**
Adj. EPS	**1.67**	**3.58**	**2.76**	**3.28**	**4.02**
FFO per share	6.71	7.39	8.72	9.07	10.05
Payout ratio (x)	0.7	0.7	0.6	0.5	0.5
AFFO per share	**6.12**	**6.56**	**7.70**	**8.08**	**9.01**
Payout ratio (x)	0.8	0.7	0.6	0.6	0.6
DPS	**4.88**	**4.88**	**4.88**	**4.98**	**5.08**
Shares outstanding	336	354	374	389	389

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**1,635A**	**1,924A**	**1,762**	**1,820**
COGS	(326)A	(351)A	(346)	(352)
Net property income	1,309A	1,573A	1,417	1,468
Adj. EBITDA	**920A**	**978A**	**978**	**1,015**
D&A	(500)A	(507)A	(510)	(512)
Adj. EBIT	**267A**	**459A**	**306**	**340**
Revaluation gains/(losses)	-	-	-	-
Net Interest	(116)A	(114)A	(116)	(123)
Adj. PBT	**195A**	**491A**	**223**	**250**
Tax	(16)A	(34)A	(16)	(17)
Minority Interest	4A	(4)A	0	0
Adj. Net Income	**169A**	**443A**	**198**	**222**
Distributable profit	-	-	-	-
Funds from operations (FFO)	700A	982A	738	766
Adjusted funds from operations (AFFO)	**700A**	**982A**	**738**	**766**
Adj. EPS	**0.47A**	**1.21A**	**0.52**	**0.57**
FFO per share	2.04A	2.65A	2.00	2.03
Payout ratio (x)	0.6A	0.5A	0.6	0.6
AFFO per share	**1.92A**	**2.47A**	**1.67**	**1.64**
Payout ratio (x)	0.6A	0.5A	0.7	0.7
DPS	**1.22A**	**1.22A**	**1.22**	**1.22**
Shares outstanding	359A	368A	380	389

Balance Sheet & Cash Flow	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,871	3,452	1,865	1,865	1,865
Accounts receivable	1,257	1,359	1,565	1,565	1,565
Current assets	**5,128**	**4,811**	**3,430**	**3,430**	**3,430**
PP&E	-	-	-	-	-
Investment properties	-	-	-	-	-
LT investments	-	-	-	-	-
Other assets	40,155	44,600	53,072	57,852	62,488
Total assets	**45,284**	**49,410**	**56,502**	**61,282**	**65,917**
Short term borrowings	-	-	-	-	-
Payables	3,141	3,726	5,048	5,048	5,048
Other short term liabilities	0	0	0	0	0
Current liabilities	**3,141**	**3,726**	**5,048**	**5,048**	**5,048**
Long-term debt	16,714	18,402	20,705	23,776	26,443
Other long term liabilities	2,253	2,437	1,464	1,895	2,297
Total liabilities	**22,108**	**24,564**	**27,217**	**30,719**	**33,787**
Shareholders' equity	21,340	22,926	27,854	29,133	30,699
Minority interests	1,835	1,920	1,431	1,431	1,431
Total liabilities & equity	**45,284**	**49,410**	**56,502**	**61,282**	**65,917**
Cash flow from operating activities	**2,261**	**2,412**	**2,962**	**3,410**	**3,754**
o/w Changes in working capital	25	37	(210)	0	0
Cash flow from investing activities	**(1,906)**	**(2,230)**	**(4,997)**	**(4,532)**	**(4,435)**
o/w Capital expenditure	(2,832)	(3,181)	(4,543)	(4,532)	(4,435)
Cash flow from financing activities	**2,063**	**(487)**	**(1,363)**	**(1,949)**	**(1,987)**
o/w Net debt issued/(repaid)	37	191	(201)	0	0
Adj. Free cash flow to firm	**1,609**	**1,278**	**(1,136)**	**(613)**	**(103)**
y/y Growth	*41.8%*	*(20.6%)*	*(188.9%)*	*(46.1%)*	*(83.1%)*

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/FFO (x)	26.7	24.3	20.6	19.8	17.8
P/AFFO (x)	29.3	27.3	23.3	22.2	19.9
P/E (x)	107.1	50.0	65.0	54.6	44.6
P/BV (x)	2.7	2.7	2.3	2.3	2.2
EV/EBITDA (x)	28.7	26.0	23.2	21.1	19.7
Dividend Yield	2.7%	2.7%	2.7%	2.8%	2.8%
Implied Cap Rate (%)	-	-	-	-	-
Adj. NAVPS	66.01	67.47	77.30	77.53	81.70

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
NOI margin	78.7%	78.7%	80.7%	81.4%	82.1%
EBITDA margin	53.1%	54.6%	54.5%	57.3%	58.3%
EBIT margin	8.5%	10.8%	19.2%	23.9%	26.8%
Net profit margin	10.1%	20.7%	14.5%	16.6%	18.7%
FFO margin	36.5%	39.2%	44.6%	46.0%	47.1%
ROE	2.8%	5.7%	4.1%	4.5%	5.2%
ROA	1.3%	2.7%	1.9%	2.2%	2.5%
ROCE	1.2%	1.6%	2.8%	3.4%	3.8%
Net debt/Equity	0.6	0.6	0.6	0.7	0.8
Net debt/EBITDA	4.4	4.5	4.8	5.0	5.0
Revenue y/y Growth	1.4%	10.0%	16.8%	8.0%	8.3%
EBITDA y/y Growth	7.2%	13.3%	16.5%	13.7%	10.1%
EPS y/y Growth	(41.9%)	114.1%	(23.0%)	19.0%	22.5%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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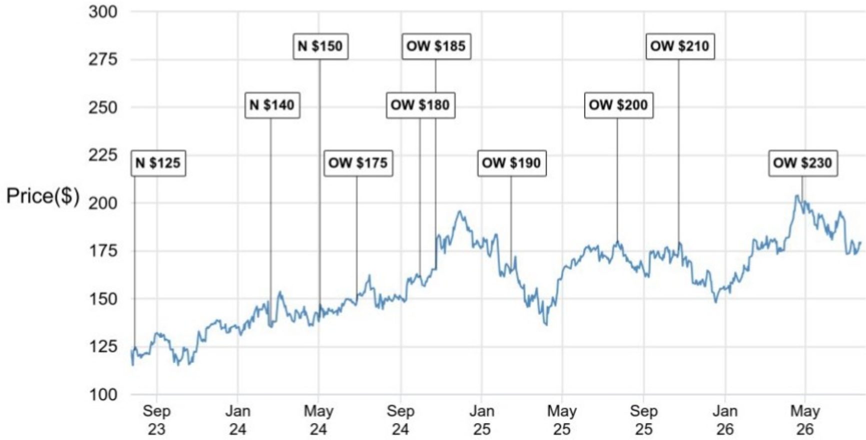
Digital Realty Trust (DLR, DLR US) Price Chart



Date	Rating	Price ($)	Price Target ($)
31-Jul-23	N	122.78	125
20-Feb-24	N	136.22	140
03-May-24	N	140.15	150
28-Jun-24	OW	148.72	175
30-Sep-24	OW	161.16	180
24-Oct-24	OW	165.80	185
14-Feb-25	OW	164.81	190
24-Jul-25	OW	179.24	200
24-Oct-25	OW	175.39	210
27-Apr-26	OW	200.00	230

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 22, 2015. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
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